

way I analyzed every other asset I added to my own or a client's portfolio, just as I had done over the last 30 years. I carefully considered and quantified bitcoin's market behavior (using the tools that follow), so I knew what beast I was dealing with. I ruminated on the percentage of my portfolio I could responsibly allocate to it, with the overarching goal of sensible asset allocation among stocks, bonds, and alternative assets. Then, I investigated the mechanics of putting bitcoin into a retirement account. The overall process of analyzing an asset was the same; I'd done it countless times before. The only difference this time was that it was bitcoin.

MODERN PORTFOLIO THEORY

When evaluating any investment decision, the starting point is always an individual's financial goals, time horizon, and risk tolerance. Goals are what the funds will be used for, and the time horizon reveals when they will be used. Risk tolerance takes a bit more analysis. Each investor has a unique tolerance for the ongoing gyrations of the value of his or her portfolio. For example, do people lose sleep when their portfolio fluctuates, or do they slumber through ups and downs, dreaming of long-term gains? Once goals, time horizon, and risk tolerance are determined, one can proceed to developing an investment portfolio that maximizes returns while staying within the bounds of these parameters.

Nobel Prize winner Harry Markowitz defined an approach to constructing portfolios in 1952 that has been the